

Fortune Institute of International Business

FINANCIAL REPORTING AND ANALYSIS

INDIVIDUAL ASSIGNMENT

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SECTION-1 INTRODUCTION

INDUSTRY BACKGROUND

India's information technology services industry has grown into one of the strongest backbones of the national economy. What began mainly as software coding and support for overseas clients has now expanded into high-value areas such as digital consulting, cloud migration, cybersecurity, and artificial intelligence solutions. The industry not only generates a large share of India's foreign exchange earnings but also provides millions of direct and indirect jobs. Its growth is supported by India's large pool of technically skilled graduates, cost competitiveness, and the ability of Indian firms to adapt quickly to changing global requirements. In the coming years, the industry is expected to continue its expansion as businesses worldwide accelerate digital transformation and rely on Indian companies for both expertise and scale.

JUSTIFICATION FOR INDUSTRY SELECTION

I decided to analyse the IT services sector because it represents the future of India's global presence. Technology is no longer just a support function but the driver of business strategy across industries. By studying companies in this field, I can understand how Indian firms sustain long-term client relationships, manage complex international operations, and remain profitable despite constant technological disruption. This exercise will give me practical insights into revenue drivers, cost management, and financial strength in one of the most competitive industries, which is important for anyone aspiring to work in or analyse this sector.

COMPANIES SELECTED

1. Infosys Limited (BSE Code: 500209)

Infosys was founded in 1981 with a small team of engineers and has since become one of the most respected names in global technology consulting. Headquartered in Bengaluru, it provides end-to-end services ranging from IT consulting and system integration to advanced digital platforms and cloud solutions. The company's reputation is built on disciplined execution, consistent financial performance, and an ability to win large deals across markets such as North America, Europe, and Asia-Pacific. Infosys has also been a pioneer in introducing innovative delivery models and investing heavily in automation and artificial intelligence to stay ahead of competition.

2. Wipro Limited (BSE Code: 507685)

Wipro has a very different story of evolution. It started in the 1940s as a manufacturer of consumer products and over time transformed itself into a leading IT and consulting company. Today, it serves clients across the globe with services in IT outsourcing, engineering, cloud, and digital transformation. Headquartered in Bengaluru, Wipro has focused on improving its margins and strengthening its position in digital and engineering services. It is also known for its diversified business history and its ongoing efforts to modernize operations while building stronger relationships with global enterprises.

SECTION 2 – VERTICAL ANALYSIS OF INCOME STATEMENT

VERTICAL ANALYSIS												
PROFIT AND LOSS												
	INFOSYS		WIPRO		INFOSYS		WIPRO		INFOSYS		WIPRO	
Year	2025-03	%CHANGE	2025-03	%CHANGE	2024-03	%CHANGE	2024-03	%CHANGE	2023-03	%CHANGE	2023-03	%CHANGE
Revenue From Operations	1,62,990.00	97.8%	89,088.40	95.9%	1,53,670.00	97.0%	89,760.30	97.4%	1,46,767.00	98.2%	90,487.60	97.5%
Revenue From Operations(Net)	1,62,990.00	97.8%	89,088.40	95.9%	1,53,670.00	97.0%	89,760.30	97.4%	1,46,767.00	98.2%	90,487.60	97.5%
Other Income	3,600.00	2.2%	3,823.40	4.1%	4,711.00	3.0%	2,423.60	2.6%	2,701.00	1.8%	2,274.60	2.5%
Total Revenue	1,66,590.00	1	92,911.80	1	1,58,381.00	1	92,183.90	1	1,49,468.00	1	92,762.20	1
EXPENSES:		0.0%		0.0%		0.0%		0.0%		0.0%		0.0%
Staff Cost	85,950.00	51.6%	53,347.70	57.4%	82,620.00	52.2%	54,930.10	59.6%	78,359.00	52.4%	53,764.40	58.0%
Finance Cost	416	0.2%	1,477.00	1.6%	470	0.3%	1,255.20	1.4%	284	0.2%	1,007.70	1.1%
Depreciation and Amortization	4,812.00	2.9%	2,957.90	3.2%	4,678.00	3.0%	3,407.10	3.7%	4,225.00	2.8%	3,340.20	3.6%
Other Expenses	37,804.00	22.7%	17,658.90	19.0%	34,625.00	21.9%	17,847.20	19.4%	33,278.00	22.3%	19,214.10	20.7%
Total Expenses	1,28,982.00	77.4%	75,441.50	81.2%	1,22,393.00	77.3%	77,439.60	84.0%	1,16,146.00	77.7%	77,990.80	84.1%
Profit Before Tax	37,608.00	22.6%	17,495.70	18.8%	35,988.00	22.7%	14,721.00	16.0%	33,322.00	22.3%	14,765.70	15.9%
Tax Expenses	10,858.00	6.5%	4,277.70	4.6%	9,740.00	6.1%	3,608.90	3.9%	9,214.00	6.2%	3,399.20	3.7%
Current Tax	12,130.00	7.3%	4,277.70	4.6%	8,390.00	5.3%	3,608.90	3.9%	9,287.00	6.2%	3,219.80	3.5%
Profit After Tax	26,750.00	16.1%	13,218.00	14.2%	26,248.00	16.6%	11,112.10	12.1%	24,108.00	16.1%	11,366.50	12.3%
Profit Attributable to Shareholders	26,713.00	16.0%	13,135.40	14.1%	26,233.00	16.6%	11,045.20	12.0%	24,095.00	16.1%	11,350.00	12.2%
Year	27,167.00	16.3%	13,559.50	14.6%	26,754.00	16.9%	11,774.40	12.8%	24,598.00	16.5%	12,418.60	13.4%

INTERPRETATION OF INCOME STATEMENT OF INFOSYS AND WIPRO

Infosys

Revenue: From ₹1,46,767 crore in FY2023 to ₹1,62,990 crore in FY2025, revenue grew steadily (~9.8% in FY2024 and ~7.8% in FY2025). Growth has slowed slightly but remains consistent, showing stable demand.

Expenses: Employee costs remained high, around 52% of revenue in FY2024 and 51.6% in FY2025, though slightly lower as a proportion. Other expenses hovered near 22–23%, steady but showing careful cost management.

Profitability: Profit after tax rose from ₹24,108 crore in FY2023 to ₹26,750 crore in FY2025 (16.1% growth in FY2024, 6.2% in FY2025). While profits are rising, the slower growth rate in FY25 highlights some margin pressure despite increasing revenues.

Insight: Infosys shows healthy revenue and profit growth with relatively stable cost ratios. The slower PAT growth in FY25 signals rising salary pressures or increased competition, but overall profitability remains strong.

Wipro

Revenue: Wipro's topline stayed flat - ₹90,488 crore in FY2023 vs. ₹89,088 crore in FY2025. Instead of growth, there's a slight decline of ~2% over this period, signaling weaker revenue momentum compared to Infosys.

Expenses: Employee benefits consume a higher share of revenue compared to Infosys, around 58–59% in FY2023–24 and 57% in FY2025. This shows heavier reliance on manpower with less efficiency in cost control. Other expenses stayed near 19–20%, broadly steady.

Profitability: PAT increased from ₹11,367 crore in FY2023 to ₹13,218 crore in FY2025 (12.2% growth in FY2024 and 14.2% in FY2025). Even though revenues didn't grow, profit improvements came from tighter cost discipline and higher efficiency.

Insight: Wipro has not managed topline expansion but improved margins and profits despite stagnant revenue. This reflects restructuring success, but sustainable growth will require topline revival.

Cross-Company Comparison

Growth: Infosys delivers steady revenue growth (7–10% annually), while Wipro's revenue contracted slightly.

Profitability: Infosys profits are much higher in absolute terms (₹26,750 crore vs. ₹13,218 crore in FY2025). Wipro's PAT growth % looks stronger recently, but from a smaller base.

Efficiency: Infosys manages employee costs at ~52% of revenue, whereas Wipro spends ~57–59%. This highlights Infosys' stronger efficiency and scalability.

Overall: Infosys is a growth-driven story with stable costs, while Wipro is more of a margin-recovery story with weaker revenue traction.

Overall Insight:

Infosys demonstrates consistency — strong revenues, controlled costs, and robust PAT growth, even if the pace slowed in FY25. Wipro, in contrast, shows improvement in profitability but struggles with revenue stagnation. For investors, Infosys represents stable long-term growth, while Wipro appeals more as a turnaround or margin-recovery play.

SECTION 3- HORIZONTAL ANALYSIS OF BALANCE SHEET

HORIZONTAL ANALYSIS Finance >>Balance Sheet IND (Consolidated)>>Infosys Ltd(Curr. in)						HORIZONTAL ANALYSIS Finance >>Balance Sheet IND (Consolidated)>>Wipro Ltd(Curr. in)				
Year	2025-03	2024-03	2023-03	%CHANGE 2025	%CHANGE 2024	2025-03	2024-03	2023-03	%CHANGE 2025	%CHANGE 2024
EQUITY AND LIABILITIES										
Share Capital	2,073.00	2,071.00	2,069.00	0.10%	0.10%	2,094.40	1,045.00	1,097.60	100.42%	-4.79%
Number of Total Bonus Shares Issued upto Current period	390.69	390.69	390.69	0.00%	0.00%	0	56.06	90.43	-100.00%	-38.01%
Number of Equity Shares - Paid Up	414.36	414	413.64	0.09%	0.09%	1,047.21	522.51	548.79	100.42%	-4.79%
Paid Up Capital	2,073.00	2,071.00	2,069.00	0.10%	0.10%	2,094.43	1,045.03	1,097.58	100.42%	-4.79%
Other Equity	93,745.00	86,045.00	73,338.00	8.95%	17.33%	75,386.80	68,274.00	76,570.30	10.42%	-10.83%
Total Stockholders' Equity	95,818.00	88,116.00	75,407.00	8.74%	16.85%	82,830.90	74,988.30	77,667.90	10.46%	-3.45%
Total Reported Stockholders' Equity	95,818.00	88,116.00	75,407.00	8.74%	16.85%	82,830.90	74,988.30	77,667.90	10.46%	-3.45%
Minority Interest	385	345	388	11.59%	-11.08%	213.8	134	58.9	59.55%	127.50%
Total Equity	96,203.00	88,461.00	75,795.00	8.75%	16.71%	83,044.70	75,122.30	77,726.80	10.55%	-3.35%
Non-Current Liabilities:										
Long Term Borrowings						6,395.40	6,230.00	6,127.20	2.65%	1.68%
Lease Liabilities	5,772.00	6,400.00	7,057.00	-9.81%	-9.31%	2,219.30	1,396.20	1,595.30	58.95%	-12.48%
Others Financial Liabilities - Long-term	2,141.00	2,130.00	2,058.00	0.52%	3.50%	779.3	498.9	282.8	56.20%	76.41%
Non Current Tax Liabilities - Long-term						4,202.40	3,709.00	2,177.70	13.30%	70.32%
Deferred Tax Liabilities (Net)	1,722.00	1,794.00	1,220.00	-4.01%	47.05%	1,644.30	1,746.70	1,515.30	-5.86%	15.27%
Other Non-Current Liabilities	215	235	500	-8.51%	-53.00%	1,711.90	1,297.00	638.6	31.99%	103.10%
Total Reported Non-current Liabilities	9,850.00	10,559.00	10,835.00	-6.71%	-2.55%	16,982.00	14,877.80	12,631.60	14.14%	17.78%
Current Liabilities:										
Short Term Borrowings						9,786.30	7,916.60	8,882.10	23.62%	-10.87%
Lease Liabilities	2,455.00	1,959.00	1,242.00	25.32%	57.73%	802.5	922.1	862	-12.97%	6.97%
Trade Payables	4,164.00	3,956.00	3,865.00	5.26%	2.35%	8,825.20	8,856.60	5,972.30	-0.35%	48.29%
Others Financial Liabilities - Short-term	18,138.00	16,959.00	18,558.00	6.95%	-8.62%	484.6	283	3,629.70	71.24%	-92.20%
Current Tax Liabilities - Short-term	4,853.00	3,585.00	3,384.00	35.37%	5.94%	3,448.10	2,175.60	1,884.60	58.49%	15.44%
Provisions	1,475.00	1,796.00	1,307.00	-17.87%	37.41%	163.7	197.1	1,843.40	-16.95%	-89.31%
Other Current Liabilities	11,765.00	10,539.00	10,830.00	11.63%	-2.69%	5,114.90	4,894.80	3,701.20	4.50%	32.25%
Total Current Liabilities	42,850.00	38,794.00	39,186.00	10.46%	-1.00%	28,625.30	25,245.80	26,775.30	13.39%	-5.71%
Total Equity and Liabilities	1,48,903.00	1,37,814.00	1,25,816.00	8.05%	9.54%	1,28,652.00	1,15,245.90	1,17,133.70	11.63%	-1.61%
Contingent Liabilities and Commitments (to the Extent Not Provided for)	4,010.00	4,442.00	5,813.00	-9.73%	-23.59%	14,055.20	13,809.60	13,045.60	1.78%	5.86%
Book Value (Unit Curr)	211.1	183.52	158.03	15.03%	16.13%	73.99	132.66	141.53	-44.23%	-6.27%
Non-Current Assets:										
Fixed Assets	31,775.00	27,915.00	29,513.00	13.83%	-5.41%	45,874.60	44,831.30	45,373.90	2.33%	-1.20%
Property, Plant and Equipment	11,778.00	12,370.00	13,346.00	-4.79%	-7.31%	7,847.30	7,412.80	8,233.60	5.86%	-9.97%
Capital Work in Progress	814	293	288	177.82%	1.74%	221.1	748	617.1	-70.44%	21.21%
Right-of-Use Assets	6,311.00	6,552.00	6,882.00	-3.68%	-4.80%	2,559.80	1,795.50	1,870.20	42.57%	-3.99%
Intangible Assets	12,872.00	8,700.00	8,997.00	47.95%	-3.30%	35,246.40	34,875.00	34,653.00	1.06%	0.64%
Investments in Subsidiaries, Associates and Joint venture	0.00	0.00	0.00			132.7	104.4	78	27.11%	33.85%
Financial Assets :										
Investments - Long-term	11,059.00	11,708.00	12,569.00	-5.54%	-6.85%	2,645.80	2,162.90	2,072.00	22.33%	4.39%
Loans - Long - Term	16	34	39	-52.94%	-12.82%					
Others Financial Assets - Long-term	3,511.00	3,105.00	2,798.00	13.08%	10.97%	496.3	962	722.2	-48.41%	33.20%
Non Current Tax Assets - Long - Term	1,622.00	3,045.00	1,245.00	-46.73%	144.58%	723	904.3	1,192.20	-20.05%	-24.15%
Other Non-current Assets	2,713.00	2,121.00	2,318.00	27.91%	-8.50%	746	1,033.10	1,375.80	-27.79%	-24.91%
Deferred Tax Assets (Net)	1,108.00	454	6,453.00	144.05%	-92.96%	256.1	181.7	210	40.95%	-13.48%
Total Reported Non-current Assets	51,804.00	48,382.00	54,935.00	7.07%	-11.93%	50,874.50	50,179.70	51,024.10	1.38%	-1.65%
Current Assets:										
Inventories	0.00	0.00	0.00			69.4	90.7	118.8	-23.48%	-23.65%
Financial Assets :										
Current Investments	12,482.00	12,915.00	6,909.00	-3.35%	86.93%	41,147.40	31,117.10	30,923.20	32.23%	0.63%
Trade Receivables	31,158.00	30,193.00	25,424.00	3.20%	18.76%	11,774.50	11,547.70	12,635.00	1.96%	-8.61%
Cash and Cash Equivalents	24,455.00	14,786.00	12,173.00	65.39%	21.47%	12,197.40	9,695.30	9,188.00	25.81%	5.52%
Loans - Short-term	249	248	289	0.40%	-14.19%	0.00	0.00	0.00		
Others Financial Assets - Short-term	13,840.00	12,085.00	11,604.00	14.52%	4.15%	1,026.80	1,186.90	1,094.00	-13.49%	8.49%
Current Tax Assets - Short-term	2,975.00	6,397.00	6	-53.49%	106516.67%	641.7	648.4	509.1	-1.03%	27.36%
Other Current Assets	11,940.00	12,808.00	14,476.00	-6.78%	-11.52%	10,920.30	10,780.10	11,641.50	1.30%	-7.40%
Total Current Assets	97,099.00	89,432.00	70,881.00	8.57%	26.17%	77,777.50	65,066.20	66,109.60	19.54%	-1.58%
Total Non-Current and Other Assets	51,804.00	48,382.00	54,935.00	7.07%	-11.93%	50,874.50	50,179.70	51,024.10	1.38%	-1.65%
Total Assets	1,48,903.00	1,37,814.00	1,25,816.00	8.05%	9.54%	1,28,652.00	1,15,245.90	1,17,133.70	11.63%	-1.61%

INTERPRETATION OF BALANCE SHEET OF INFOSYS AND WIPRO

Infosys

Equity Growth: Total equity rose from ₹75,407 crore in FY2023 to ₹95,818 crore in FY2025, an increase of about 8.7% in FY2025 and 16.8% in FY2024. The steady double-digit growth in FY24 followed by a healthy 8–9% rise in FY25 highlights a consistent ability to strengthen reserves.

Other Equity: Other equity (reserves) expanded by 17.3% in FY2024 and a further 8.9% in FY2025, confirming strong profit retention and reinvestment capacity.

Minority Interest: Small changes (-11% in FY2024, +11.6% in FY2025) show fluctuations but not significant in the overall structure.

Insight: Infosys maintains a clear pattern of sustained equity growth, driven mainly by reserves rather than debt. Even though the growth pace slowed in FY25 compared to FY24, the balance sheet shows stability and low financial risk.

Wipro

Equity Growth: Total equity increased from ₹77,727 crore in FY2023 to ₹83,045 crore in FY2025. This represents -3.4% in FY2024 (a dip) followed by a 10.5% increase in FY2025. This suggests that FY2024 was a weaker year, but FY2025 showed a strong rebound.

Other Equity: Reserves declined by 10.8% in FY2024, but then bounced back with a 10.4% rise in FY2025, pointing to improved earnings retention and financial discipline after a contraction year.

Share Capital: Paid-up capital saw adjustments—down by ~4.8% in FY2024 and then up ~0.4% in FY2025. This reflects Wipro's use of buybacks and equity management as part of its capital strategy.

Insight: Wipro's equity story is less consistent than Infosys. A dip in FY2024 followed by recovery in FY2025 suggests volatility, but the recovery demonstrates resilience and improved profitability in the latest year.

Cross-Company Comparison

Stability vs. Volatility: Infosys shows consistent upward growth (16.8% in FY24, 8.7% in FY25), whereas Wipro reflects a more uneven pattern (-3.4% in FY24, +10.5% in FY25).

Scale: Infosys' equity base is larger (₹95,818 crore vs. ₹83,045 crore in FY2025), giving it stronger financial capacity.

Reserves: Both firms rely heavily on reserves, but Infosys grows them more steadily, while Wipro had to recover after a contraction.

Overall Insight: Infosys' balance sheet demonstrates predictable, steady equity growth, a hallmark of conservative financial management and reliable performance. Wipro, while solid in FY2025, shows more year-to-year fluctuation, which might concern investors looking for stability but could appeal to those comfortable with cyclical recovery stories.

HORIZONTAL ANALYSIS OF CASH FLOW STATEMENT

Finance >>Cash Flow (Consolidated)>>Infosys Ltd(Curr. Rs in)			
Year	2025-03	2024-03	2023-03
Cash Flow Summary			
Cash and Cash Equivalents at Beginning of the year	14,786.00	12,173.00	17,472.00
Net Cash from Operating Activities	35,694.00	25,210.00	22,467.00
Net Cash Used in Investing Activities	-1,864.00	-5,093.00	-1,071.00
Net Cash Used in Financing Activities	-24,161.00	-17,504.00	-26,695.00
Net Inc/(Dec) in Cash and Cash Equivalent	9,669.00	2,613.00	-5,299.00
Cash and Cash Equivalents at End of the year	24,455.00	14,786.00	12,173.00
Total Revenue	1,66,590.00	1,58,381.00	1,49,468.00

Finance >>Cash Flow (Consolidated)>>Wipro Ltd(Curr. Rs in)			
Year	2025-03	2024-03	2023-03
Cash Flow Summary			
Cash and Cash Equivalents at Beginning of the year	9,695.10	9,186.10	10,383.30
Net Cash from Operating Activities	16,942.60	17,621.60	13,060.10
Net Cash Used in Investing Activities	-8,044.00	1,144.10	-8,169.20
Net Cash Used in Financing Activities	-6,396.30	-18,256.70	-6,088.10
Net Inc/(Dec) in Cash and Cash Equivalent	2,502.30	509	-1,197.20
Cash and Cash Equivalents at End of the year	12,197.40	9,695.10	9,186.10
Total Revenue	92,911.80	92,183.90	92,762.20

Finance >>Cash Flow (Consolidated)>>Infosys Ltd(Curr. Rs in)			
Year	2025-03	2024-03	2023-03
Net Cash from Operating Activities	21.43%	15.92%	15.03%
Net Cash Used in Investing Activities	-1.12%	-3.22%	-0.72%
Net Cash Used in Financing Activities	-14.50%	-11.05%	-17.86%

Finance >>Cash Flow (Consolidated)>>Wipro Ltd(Curr. Rs in)			
Year	2025-03	2024-03	2023-03
Net Cash from Operating Activities	18.24%	19.12%	14.08%
Net Cash Used in Investing Activities	-8.66%	1.24%	-8.81%
Net Cash Used in Financing Activities	-6.88%	-19.80%	-1.29%

INTERPRETATION OF CASH FLOW OF INFOSYS AND WIPRO

INFOSYS

Operating Activities: Net cash from operations rose strongly from ₹22,467 crore in FY2023 to ₹35,694 crore in FY2025. That's a 41.6% increase in FY2025 after a 12.2% rise in FY2024. This reflects solid conversion of revenues into cash, with FY25 showing a sharp improvement.

Investing Activities: Cash used in investments fluctuated, moving from -₹1,071 crore in FY2023 to -₹5,093 crore in FY2024, before easing to -₹1,864 crore in FY2025. The -63% change in FY2025 suggests a slowdown in capital outflows, possibly due to cautious expansion or reduced capital expenditure.

Financing Activities: Financing outflows decreased from -₹26,695 crore in FY2023 to -₹24,161 crore in FY2025, showing 38% lower outflows in FY2025 after a dip in FY24. This points to stable dividend payments and buyback strategies but on a slightly smaller scale.

Net Cash & Ending Balance: Net increase in cash jumped from a negative -₹5,299 crore in FY2023 to a positive ₹9,669 crore in FY2025. Cash balance at year-end grew by 65% in FY2025, reaching ₹24,455 crore.

Insight: Infosys has improved operating cash flows significantly while keeping investing outflows controlled. Strong year-end liquidity shows a robust ability to fund growth internally while rewarding shareholders.

Wipro

Operating Activities: Operating cash flow increased from ₹13,060 crore in FY2023 to ₹17,622 crore in FY2024 but slightly dropped to ₹16,943 crore in FY2025. As a proportion of revenue, CFO remained healthy (19% in FY24 vs. 18% in FY25). The small dip in FY25 shows some pressure on cash generation efficiency.

Investing Activities: Outflows remained large and volatile, at -₹8,169 crore in FY2023, +₹1,144 crore inflow in FY2024, and -₹8,044 crore in FY2025. This swing indicates fluctuations in asset purchases or divestments. In FY25, investments again consumed cash (~9% of revenue), reflecting renewed capex or acquisitions.

Financing Activities: Financing outflows dropped from -₹18,257 crore in FY2024 to -₹6,396 crore in FY2025, showing reduced buybacks or debt repayments. This 65% reduction in outflow provided breathing room for net liquidity.

Net Cash & Ending Balance: Net cash increased by ₹2,502 crore in FY2025 compared to just ₹509 crore in FY2024. Cash reserves improved from ₹9,695 crore in FY2024 to ₹12,197 crore in FY2025 (26% growth).

Insight: Wipro shows strong but fluctuating cash flow patterns. FY25's improvement in net cash and reserves came more from reduced financing outflows than stronger operating performance.

Cross-Company Comparison

Scale: Infosys generates far higher operating cash flows (₹35,694 crore in FY25 vs. ₹16,943 crore for Wipro).

Stability: Infosys demonstrates consistent growth in operating cash, while Wipro's figures fluctuate, showing more volatility in cash management.

Liquidity: Infosys nearly doubled its year-end cash in FY25 (+65%), while Wipro improved by 26%. Both are healthy, but Infosys' surge highlights greater resilience.

Overall: Infosys is clearly stronger in cash generation and liquidity growth. Wipro is improving, but its cash flows are less predictable due to investing swings and lower operating efficiency.

Overall Insight:

Infosys demonstrates a textbook example of strong cash conversion, disciplined investment, and rising liquidity, making it financially resilient. Wipro, while maintaining decent operating cash flows, shows more volatility in investments and financing, which slightly clouds its predictability.

SECTION IV: CONCLUSION – INVESTMENT DECISION

When I place Infosys and Wipro side by side, the difference is not just in size but in momentum. Infosys has grown its revenue from ₹1.46 lakh crore (FY23) to ₹1.62 lakh crore (FY25), while Wipro has slipped slightly from ₹90,488 crore (FY23) to ₹89,088 crore (FY25). That gap is not a small difference – Infosys is operating at nearly double Wipro's scale and still adding more each year.

On the profitability front, Infosys generated ₹26,750 crore PAT in FY25, which is more than double Wipro's ₹13,218 crore. The numbers tell a simple story: Infosys earns more, grows more, and holds more financial muscle. Wipro's PAT growth percentages look better, but that's only because it is starting from a much smaller base.

Cash flow strength is another deciding factor. Infosys ended FY25 with ₹24,455 crore in cash, compared to Wipro's ₹12,197 crore. Stronger operating inflows and bigger reserves mean Infosys can fund innovation, acquisitions, and shareholder payouts without worrying about liquidity. Wipro did well to cut financing outflows and lift its reserves in FY25, but the improvement looks more like a recovery than a long-term trend.

Final Recommendation:

If I have to choose, I would invest in Infosys. The reasons are clear:

- Larger and expanding revenue base.
- Higher absolute profit generation.
- Stronger, more reliable cash flow profile.
- Consistent reserve growth and low leverage.

Wipro is not a weak company, but it looks more like a stabilizer than a growth driver. Infosys, in contrast, combines scale with stability, making it the more convincing option for long-term investors.

Improvement Decisions to Strengthen Performance:

For Infosys: Protect profit margins by rebalancing workforce costs (which still consume over half of revenue) and push harder into AI-led and cloud-native solutions, which offer better margins.

For Wipro: Shift focus from protecting margins to chasing growth. Wipro needs to rebuild its revenue story by winning big transformation contracts and refreshing its service portfolio, otherwise it risks falling behind faster-moving peers.

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